OFFICE OF THE ASSISTANT SECRETARY OF WAR
3000 DEFENSE PENTAGON
WASHINGTON, DC 20301-3000

ACQUISITION
AND SUSTAINMENT

In reply refer to
DARS Tracking Number: 2026-O0011, Revision 1

MEMORANDUM FOR COMMANDER, UNITED STATES CYBER COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES SPECIAL OPERATIONS COMMAND (ATTN: ACQUISITION EXECUTIVE)
COMMANDER, UNITED STATES TRANSPORTATION COMMAND (ATTN: ACQUISITION EXECUTIVE)
DEPUTY ASSISTANT SECRETARY OF THE ARMY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE NAVY (PROCUREMENT)
DEPUTY ASSISTANT SECRETARY OF THE AIR FORCE (CONTRACTING)
DEFENSE AGENCY AND DOD FIELD ACTIVITY DIRECTORS

SUBJECT: Class Deviation—Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 34, Defense FAR Supplement (DFARS) Part 234

Effective immediately, this class deviation revises and supersedes Class Deviation 2026-O0011, issued on December 18, 2025. This revision implements sections of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2025 (Pub. L. 118-159) and the NDAA for FY 2026 (Pub. L. 119-60), as well as a statutory change and updates to a DoD Instruction (DoDI) and a DoD Manual (DoDM).

Contracting officers shall use—

- The revised FAR part 34, Major System Acquisition, published on the Revolutionary FAR Overhaul web page at *https://www.acquisition.gov/far-overhaul/far-part-deviation-guide/far-overhaul-part-34* in lieu of the text codified at 48 CFR chapter 1 (*https://www.ecfr.gov*);

- The attached revised DFARS part 234, Major System Acquisition, in lieu of the text codified at 48 CFR chapter 2; and

- The attached DFARS Procedures, Guidance, and Information (PGI) 234, Major System Acquisition, in lieu of the PGI text published on the Defense Pricing, Contracting, and Acquisition Policy web page at *https://www.acq.osd.mil/dpap/dars/dfarspgi/current/index.html*.

This class deviation implements the following:

- Section 2 of E.O. 14275, Restoring Common Sense to Federal Procurement, which establishes the policy that the FAR "should only contain provisions required by statute or essential to sound procurement, and any FAR provisions that do not advance these objectives should be removed.

- Section 4(a) of E.O. 14265, Modernizing Defense Acquisitions and Spurring Innovation in the Defense Industrial Base which requires the Secretary of War to eliminate or revise any unnecessary supplemental regulations or any other internal guidance, such as relevant parts of the Financial Management Regulation and Defense Federal Acquisition Regulation Supplement.

- The Office of Management and Budget memorandum, M-25-26 issued on May 2, 2025, titled, Overhauling the Federal Acquisition Regulation, which provided additional guidance to Federal agencies regarding the FAR overhaul.

- Section 802 of the NDAA for FY 2025, which limits the number of low-rate production lots for any production quantities procured using fixed-priced options to not more than one.

- Section 811(a)(5) of the NDAA for FY 2026, which repealed 10 U.S.C. 3455, the basis for DFARS subpart 234.70.

- Section 1826(a)(2) of the NDAA for FY 2026, which exempts nontraditional defense contractors from the requirements of the clause at DFARS 252.234-7002, Earned Value Management System.

- 10 U.S.C. 3227(b) and (c), which generally require collecting acquisition cost data for certain DoD contracts.

- Updates to DoDI 5000.73, Cost Analysis Guidance and Procedures, and DoDM 5000.04, Cost and Software Data Reporting, dated May 7, 2021. These updates to the DoDI and DoDM implement DoDI 5000.02, Operation of the Adaptive Acquisition Framework, which restructured defense acquisition guidance to improve process effectiveness and implement the Adaptive Acquisition Framework.

This class deviation remains in effect until rescinded or incorporated into the FAR, DFARS, and DFARS PGI. Inquiries regarding this class deviation can be addressed to osd.pentagon.ousd-a-s.mbx.dfars@mail.mil.

TENAGLIA.JOHN.M.1154945926 Digitally signed by TENAGLIA.JOHN.M.1154945926 Date: 2026.08.05 16:48:29 -04'00'

John M. Tenaglia
Principal Director,
Defense Pricing, Contracting, and
Acquisition Policy

Attachments:
As stated

PART 234—MAJOR SYSTEM ACQUISITION

SUBPART 234.2—EARNED VALUE MANAGEMENT SYSTEM

234.200-70 Definitions.

As used in this subpart—

Acceptable earned value management system means an earned value management system that generally complies with the system criteria in paragraph (b) of the clause at 252.234-7999, Earned Value Management System.

Earned value management system means a system that complies with the earned value management system guidelines in Electronic Industries Alliance Standard 748, Earned Value Management Systems (EIA-748).

234.201-70 Policy.

(a) *Applicability*. Except for the exemption at paragraph (j) of this section, DoD applies the earned value management system requirement as follows:

(1) For cost or incentive contracts and subcontracts valued at $50 million or more, the clause at 252.234-7999, Earned Value Management System, requires the contractor's earned value management system to comply with the guidelines in Electronic Industries Alliance Standard 748, Earned Value Management Systems (EIA-748).

(2) For cost or incentive contracts and subcontracts valued at $100 million or more, the clause at 252.234-7999, Earned Value Management System, requires the contractor to have an earned value management system that the cognizant Federal agency has determined to comply with the guidelines in EIA-748.

(3) For cost or incentive contracts and subcontracts valued at less than $50 million—

(i) The application of earned value management is optional and is a risk-based decision;

(ii) Document the decision to apply earned value management in the contract file; and

(iii) Follow the procedures at PGI 234.201(a)(3) for conducting a cost-benefit analysis.

(4) For firm-fixed-price contracts and subcontracts of any dollar value—

(i) The application of earned value management is discouraged; and

(ii) Follow the procedures at PGI 234.201(a)(4) for obtaining a waiver before applying earned value management.

(b) *Review procedures.* When an offeror proposes a plan for compliance with the earned value management system guidelines in EIA-748, follow the review procedures at PGI 234.201(b).

(c) *Defense Contract Management Agency responsibility.* The Defense Contract Management Agency is responsible for determining earned value management system compliance when DoD is the cognizant Federal agency.

(d) *Additional guidance.* See PGI 234.201(d) for additional guidance on earned value management.

(e) *Acceptability.* The cognizant contracting officer, in consultation with the functional specialist, must—

(1) Determine the acceptability of the contractor's earned value management system and approve or disapprove the system; and

(2) Pursue correction of any weaknesses or deficiencies.

(f) *Compliance with system criteria.* In evaluating the acceptability of a contractor's earned value management system, the contracting officer, in consultation with the functional specialist, must determine whether the contractor's earned value management system complies with the system criteria for an acceptable earned value management system as prescribed in the clause at 252.234-7999, Earned Value Management System.

(g) *Disposition of findings.* (1) *Reporting of findings.* The functional specialist must document and report all findings and recommendations to the contracting officer. If the functional specialist identifies any material weakness in the contractor's earned value management system, the report must include detailed descriptions of the weaknesses or deficiencies.

(2) *Initial determination.* (i) The contracting officer must review all findings and recommendations and, if no material weaknesses exist, must promptly notify the contractor, in writing, that the contractor's earned value management system is acceptable and approved; or

(ii) If the contracting officer finds that one or more material weaknesses exist due to the contractor's failure to meet one or more of the earned value management system criteria in the clause at 252.234-7999, the contracting officer must—

(A) Promptly make an initial written determination of any material weaknesses and notify the contractor, in writing, providing a description of each material weakness in sufficient detail to allow the contractor to understand the weaknesses (see PGI 234.201(g)(2));

(B) Request the contractor to respond, in writing, to the initial determination within 30 days; and

(C) Evaluate the contractor's response to the initial determination, in consultation with the functional specialist, and make a final determination.

(3) *Final determination.* (i) The contracting officer must make a final determination and notify the contractor, in writing, that—

(A) The contractor's earned value management system is acceptable and approved, and no material weaknesses remain; or

(B) Material weaknesses remain. The contracting officer must identify any remaining material weaknesses and indicate the adequacy of any proposed or completed corrective action, and—

(*1*) Request that the contractor, within 45 days of receipt of the final determination, either correct the deficiencies or submit an acceptable corrective action plan showing milestones and actions to eliminate the weaknesses;

(*2*) Disapprove the system in accordance with the clause at 252.234-7999 when initial validation is not successfully completed within the timeframe approved by the contracting officer, or the contracting officer determines that the existing earned value management system contains one or more material weaknesses in the EIA-748 standard guidelines.

(*3*) Withhold payments in accordance with the clause at 252.242-7998, Contractor Business Systems, if the clause is included in the contract.

(ii) Follow the procedures relating to monitoring a contractor's corrective action and the correction of material weaknesses at PGI 234.201(g)(3).

(h) *System approval.* The contracting officer must promptly approve a previously disapproved earned value management system and notify the contractor when no remaining material weaknesses exist.

(i) *Contracting officer notifications.* The cognizant contracting officer must promptly distribute copies of a determination to approve a system, disapprove a system and withhold payments, or approve a previously disapproved system and release withheld payments to the functional specialist; payment office; affected contracting officers at the buying activities; and cognizant contracting officers in contract administration activities.

(j) *Exemptions.* (1) *General.* Do not apply this subpart to contracts—

(i) Primarily for software, including those using a software acquisition pathway in accordance with DoD Instruction 5000.87, Operation of the Software Acquisition Pathway; or

(ii) Awarded to nontraditional defense contractors.

(2) *Waiver relating to nontraditional defense contractors*. The head of the contracting activity may waive the exemption relating to nontraditional defense contractors by written determination that applying the requirement for an earned value management system to a nontraditional defense contractor is in the best interest of DoD. The HCA may delegate this authority to no lower than the chief of the contracting office.

234.203-70 Solicitation provision and contract clause.

Except for contracts subject to the exemptions at 234.201-70 paragraph (j), for cost or incentive contracts valued at $50 million or more, and for other contracts for which EVMS will be applied in accordance with 234.201-70(a)(3) and (4)—

(a) Insert the provision at 252.234-7998, Notice of Earned Value Management System, in the solicitation; and

(b) Insert the clause at 252.234-7999, Earned Value Management System, instead of the clause at FAR 52.234-4, Earned Value Management System, in the solicitation and contract.

SUBPART 234.70—[RESERVED]

SUBPART 234.71—COST AND SOFTWARE DATA REPORTING

234.7100 Scope of subpart.
This subpart implements 10 U.S.C. 3227(b) and (c).

234.7101 Applicability.

(a) This subpart applies to contracts supporting any acquisition and/or sustainment program, if that program is expected to exceed $100 million in one or more of the following acquisition pathways and to meet the following program criteria, when the contract is expected to exceed either of the following amounts:

(1) $50 million.

Table 1 to Paragraph (a)(1)

Acquisition Pathway	Program Criteria
Major Capability Acquisition	Acquisition Category (ACAT) I-II
Software Pathway	Programs expected to exceed $100 million in acquisition expenditures over any 5-year period
Defense Business Systems	Business Category (BCAT) I-II expected to exceed $100 million in acquisition expenditures over any 5-year period
Services	Services Category (SCAT) I

Middle Tier Acquisition	Programs expected to exceed $100 million in acquisition expenditures over the Middle Tier Acquisition period

(2) $20 million.

Table 2 to Paragraph (a)(2)

Acquisition Pathway	Program Criteria
Major Capability Acquisition	If required by the cost and software data reporting plan approval authority
Software Pathway	
Defense Business Systems	
Services	
Middle Tier Acquisition	
Urgent Capability Acquisition	
Other Acquisition Programs	

(b) This subpart also applies to contracts supporting any other program that is expected to exceed $100 million and is determined to be high-risk or of high-technical interest by the cost and software data reporting (CSDR) plan approval authority**.**

234.7102 Policy.
The CSDR requirements are specified in DoD Instruction (DoDI) 5000.73, Cost Analysis Guidance and Procedures, and are mandatory for acquisitions as specified in DoDI 5000.02, Operation of the Adaptive Acquisition Framework. Additional CSDR requirements are specified in DoD Manual (DoDM) 5000.04, Cost and Software Data Reporting.

234.7103 Waiver.

(a) The CSDR requirements identified in this subpart may be waived only by the Office of the Secretary of Defense, Director of Cost Assessment and Program Evaluation (see 10 U.S.C. 3227(c)).

(b) See PGI 234.7103 for contact information for the Cost Assessment and Program Evaluation office.

234.7104 Procedures.

(a) If an indefinite-delivery contract is awarded, the contracting officer must ensure the applicability of CSDR requirements is specified at the task order or delivery order level.

(b) Prior to the issuance of a solicitation, the contracting officer must obtain from the program manager, or other official responsible for the program, written documentation that preaward requirements of DoDM 5000.04 have been met or include a signed CSDR waiver in the contract file.

(c) The contracting officer should attend the CSDR-readiness review for contracts that include the basic or alternate of the clause at 252.234-7004, Cost and Software Data Reporting (see DoDM 5000.04).

234.7105 Contract clause.

Use the basic or the alternate of the clause at 252.234-7004, Cost and Software Data Reporting, in solicitations and contracts for defense acquisition programs that are expected to exceed $100 million and meet the requirements for cost and software data reporting as follows:

(a) Use the basic clause in solicitations and contracts that exceed $50 million and that meet the criteria at 234.7101(a) and (a)(1).

(b) Use the alternate I clause in solicitations and contracts that exceed $20 million, but are less than or equal to $50 million, and that meet the criteria at 234.7101(a)(2) or (b).

SUBPART 234.72—ACQUISITION STRATEGY FOR MAJOR SYSTEMS

234.7200 Scope.

This subpart implements—

(a) Section 818 of the National Defense Authorization Act for Fiscal Year 2007 (Pub. L. 109-364).

(b) Section 811 of the National Defense Authorization Act for Fiscal Year 2013 (Pub. L. 112-239).

(c) Section 808 of the National Defense Authorization Act for Fiscal Year 2023 (Pub. L. 117-263).

(d) 10 U.S.C. 4328(c)(1) and (2).

(e) 10 U.S.C. 4004.

(f) 10 U.S.C. 3322(d).

234.7201 Definition.

As used in this subpart—

Production of major defense acquisition program means the production and deployment of a major system that is intended to achieve an operational capability that satisfies mission needs, or an activity otherwise defined as Milestone C under Department of Defense Instruction 5000.02 or related authorities.

234.7202 Procedures.

(a) *Selection of contract type for major acquisition programs at Milestone B.* For major defense acquisition programs at Milestone B—

(1) The milestone decision authority (MDA) must select, with the advice of the contracting officer, the contract type for a development program at the time of Milestone B approval or, in the case of a space program, Key Decision Point B approval;

(2) The acquisition strategy must document the basis for the contract-type selection. The documentation—

(i) Must include an explanation of the level of program risk; and

(ii) If program risk is determined to be high, must outline the steps taken to reduce program risk and the reasons for proceeding with Milestone B approval despite the risk; and

(3) If the MDA selects a cost-reimbursement type contract, include in the contract file the MDA's written determination that—

(i) The program is so complex and technically challenging that reducing program risk to a level that would permit the use of a fixed-price type contract is impracticable; and

(ii) The complexity and technical challenge of the program does not result from failure to meet the requirements of 10 U.S.C. 4251.

(b) *Use of cost-reimbursement line items for production of major defense acquisition programs.* (1) Do not use cost-reimbursement line items for the acquisition of production of major defense acquisition programs. See also PGI 234.7202(b) regarding additional contract-type approval requirements.

(2) The prohibition at paragraph (1) does not apply where the Under Secretary of Defense for Acquisition and Sustainment (USD(A&S)), or the MDA when the MDA is the service acquisition executive of the military department that is managing the program, submits to the congressional defense committees—

(i) A written certification that the cost-reimbursement line items are needed to provide a required capability in a timely and cost-effective manner; and

(ii) An explanation of the steps taken to ensure that cost-reimbursement line items are used only to achieve the purposes of the exception.

(3) Include, as applicable, in the contract file a copy of the congressional certification described in paragraph (2).

(c) *Low-rate initial production associated with major defense acquisition programs.* (1) Do not procure more than one lot for low-rate initial production, as described at 10 U.S.C. 4231, associated with a major defense acquisition program if—

(i) The MDA authorizes the use of a fixed-price type contract at the time of Milestone B approval; and

(ii) The scope of work of the fixed-price type contract includes both the development and low-rate initial production of items for such major defense acquisition program.

(2) The service acquisition executive may waive this limitation, delegable to no lower than one level above the contracting officer, if—

(i) The service acquisition executive provides a written notification of the waiver, including associated rationale, to the congressional defense committees no later than 30 days after issuance of the waiver; and

(ii) Include a copy of the waiver and such congressional notification in the contract file.

(d) *Sustainment criteria for weapons systems*. (1) As provided by the program manager, include clearly defined measurable criteria for engineering activities and design specifications for reliability and maintainability in solicitations and resulting contracts for the technical maturation and risk reduction phase, the engineering and manufacturing development phase or the production phase of a weapon system, including embedded software.

(2) Notwithstanding paragraph (1), if the program manager has determined that such criteria should not be included as described in paragraph (d)(1) of this section, include a copy of the justification, executed by the program manager, in the contract file.

(e) *Development and demonstration of initial or additional prototype units*. (1) Subject to the limitations in paragraph (e)(2) of this section, a contract initially awarded from the competitive selection of a proposal resulting from a broad agency announcement (see
235.102) may include—

(i) A line item or contract option using funds not limited to those identified in 235.102 for the development and demonstration or initial production of technology developed under the contract; or

(ii) The delivery of initial or additional items if the item or a prototype thereof is created as the result of work performed under the contract.

(2)(i) The line item or contract option must require only the minimal quantity of initial or additional items or prototypes that will allow for timely competitive solicitation and award of a follow-on development or production contract for those items.

(ii) The term of the line item or contract option must not exceed 2 years.

(iii) The dollar value of the work to be performed pursuant to the line item or contract option must not exceed $100 million in fiscal year 2017 constant dollars.

(3) See PGI 234.7202(e) regarding the benefits derived from use of this competitive selection method.

(f) *Limitation on fixed-price options for low-rate initial production.* (1) For a cost-reimbursement contract for the development of a major system, do not procure more than one lot for low-rate initial production, as described at 10 U.S.C. 4231, using fixed-priced options.

(2) This limitation is subject to waiver upon a determination that such waiver is in the best interest of DoD issued by—

(i) The service acquisition executive on a non-delegable basis; or

(ii) In the case of a joint program, the Secretary of Defense, delegable to no lower than a service acquisition executive.

PART 252—SOLICITATION PROVISIONS AND CONTRACT CLAUSES

SUBPART 252.2—TEXT OF PROVISIONS AND CLAUSES

252.234-7998 Notice of Earned Value Management System. (DEVIATION 2026-O0011)
As prescribed in 234.203-70(a), use the following provision:

NOTICE OF EARNED VALUE MANAGEMENT SYSTEM (AUG 2026) (DEVIATION 2026-O0011)

(a) If the offeror submits a proposal in the amount of $100 million or more—

(1) The offeror must provide documentation that the Cognizant Federal Agency (CFA) has determined that the proposed Earned Value Management System (EVMS) complies with the EVMS guidelines in the Electronic Industries Alliance Standard 748, Earned Value Management Systems (EIA-748). (current version at time of solicitation). The Government reserves the right to perform reviews of the EVMS when deemed necessary to verify compliance.

(2) If the offeror proposes to use a system that has not been determined to be in compliance with the requirements of paragraph (a)(1) of this provision, the offeror must submit a comprehensive plan for compliance with the guidelines in EIA-748.

(i) The plan must—

(A) Describe the EVMS the offeror intends to use in performance of the contract, and how the proposed EVMS complies with the EVMS guidelines in EIA-748;

(B) Distinguish between the offeror's existing management system and modifications proposed to meet the EVMS guidelines;

(C) Describe the management system and its application in terms of the EVMS guidelines;

(D) Describe the proposed procedure for administration of the EVMS guidelines as applied to subcontractors; and

(E) Describe the process the offeror will use to determine subcontractor compliance with EIA-748.

(ii) The offeror must provide information and assistance as required by the Contracting Officer to support review of the plan.

(iii) The offeror's EVMS plan must provide milestones that indicate when the offeror anticipates that the EVMS will be compliant with the guidelines in EIA-748.

(b) If the offeror submits a proposal in an amount less than $100 million—

(1) The offeror must submit a written description of the management procedures it will use and maintain in the performance of any resultant contract to comply with the requirements of the Earned Value Management System clause of the contract. The description must include—

(i) A matrix that correlates each guideline in EIA-748 (current version at time of solicitation) to the corresponding process in the offeror's written management procedures; and

(ii) The process the offeror will use to determine subcontractor compliance with EIA-748.

(2) If the offeror proposes to use an EVMS that has been determined by the CFA to be in compliance with the EVMS guidelines in EIA-748, the offeror may submit a copy of the documentation of such determination instead of the written description required by paragraph (b)(1) of this provision.

(c) The offeror must identify the subcontractors (or the subcontracted effort if subcontractors have not been selected) to whom the EVMS requirements will apply. The offeror and the Government will agree to the subcontractors or the subcontracted effort selected for application of the EVMS requirements. The offeror will be responsible for ensuring that the selected subcontractors comply with the requirements of the Earned Value Management System clause of the contract.

(d) This provision does not apply to nontraditional defense contractors, as defined in DFARS 202.101.

(End of provision)

252.234-7999 Earned Value Management System. (DEVIATION 2026-O0011)
As prescribed in 234.203-70(b), use the following clause:

EARNED VALUE MANAGEMENT SYSTEM (AUG 2026) (DEVIATION 2026-O0011)

(a) *Definitions*. As used in this clause—

Acceptable earned value management system means an earned value management system that generally complies with the system criteria in paragraph (b) of this clause.

Earned value management system means a system that complies with the earned value management system guidelines in Electronic Industries Alliance Standard 748, Earned Value Management Systems (EIA-748).

Material weakness means a deficiency or combination of deficiencies in the internal control over information in contractor business systems, such that there is a reasonable possibility that a material misstatement of such information will not be prevented, or detected and corrected, on a timely basis. A reasonable possibility exists when the likelihood of an event occurring is—

(1) Probable; or

(2) More than remote but less than likely (section 806 of Pub. L. 116-283).

(b) *System criteria*. In the performance of this contract, the Contractor must use—

(1) An Earned Value Management System (EVMS) that complies with the EVMS guidelines in the Electronic Industries Alliance Standard 748, Earned Value Management Systems (EIA-748); and

(2) Management procedures that provide for generation of timely, reliable, and verifiable information for the cost and schedule reporting data items required by this contract.

(c) If this contract has a value of $100 million or more, the Contractor must use an EVMS that has been determined to be acceptable by the Cognizant Federal Agency (CFA). If, at the time of award, the Contractor's EVMS has not been determined by the CFA to be in compliance with the EVMS guidelines as stated in paragraph (b)(1) of this clause, the Contractor must apply its current system to the contract and must take necessary actions to meet the milestones in the Contractor's EVMS plan.

(d) If this contract has a value of less than $100 million, the Government will not make a formal determination that the Contractor's EVMS complies with the EVMS guidelines in EIA-748 with respect to the contract. The use of the Contractor's EVMS for this contract does not imply a Government determination of the Contractor's compliance with the EVMS guidelines in EIA-748 for application to future contracts. The Government will allow the use of a Contractor's EVMS that has been formally reviewed and determined by the CFA to be in compliance with the EVMS guidelines in EIA-748.

(e) The Contractor must submit notification of any proposed substantive changes to

the EVMS procedures and the impact of those changes to the CFA. If this contract has a value of $100 million or more, unless a waiver is granted by the CFA, any EVMS changes proposed by the Contractor require approval of the CFA prior to implementation. The CFA will advise the Contractor of the acceptability of such changes as soon as practicable (generally within 30 calendar days) after receipt of the Contractor's notice of proposed changes. If the CFA waives the advance approval requirements, the Contractor must disclose EVMS changes to the CFA at least 14 calendar days prior to the effective date of implementation.

(f)(1) The Government will schedule integrated baseline reviews as early as practicable, and the review process will be conducted not later than 180 calendar days after—

(i) Contract award;

(ii) The exercise of significant contract options; and

(iii) The incorporation of major modifications.

(2) During such reviews, the Government and the Contractor will jointly assess the Contractor's baseline to be used for performance measurement to ensure complete coverage of the statement of work, logical scheduling of the work activities, adequate resourcing, and identification of inherent risks.

(g) The Contractor must provide access to all pertinent records and data requested by the Contracting Officer or duly authorized representative as necessary to permit Government surveillance to ensure that the EVMS complies, and continues to comply, with the performance criteria referenced in paragraph (b) of this clause.

(h) When indicated by contract performance, the Contractor must submit a request for approval to initiate an over-target baseline or over-target schedule to the Contracting Officer. The request must include a top-level projection of cost and/or schedule growth, a determination of whether or not performance variances will be retained, and a schedule of implementation for the rebaselining. The Government will acknowledge receipt of the request in a timely manner (generally within 30 calendar days).

(i) *Material weaknesses*. (1) The Contracting Officer will provide an initial determination to the Contractor, in writing, of any material weaknesses. The initial determination will describe the underlying deficiency in sufficient detail to allow the Contractor to understand the weakness or deficiency.

(2) The Contractor must respond within 30 days to a written initial determination from the Contracting Officer that identifies material weaknesses in the Contractor's EVMS. If the Contractor disagrees with the initial determination, the Contractor must state, in writing, its rationale for disagreeing.

(3) The Contracting Officer will evaluate the Contractor's response and notify the Contractor, in writing, of the Contracting Officer's final determination concerning—

(i) Remaining material weaknesses;

(ii) The adequacy of any proposed or completed corrective action;

(iii) System noncompliance, when the Contractor's existing EVMS fails to comply with the earned value management system guidelines in the EIA-748; and

(iv) System disapproval, if initial EVMS validation is not successfully completed within the timeframe approved by the Contracting Officer.

(4) If the Contractor receives the Contracting Officer's final determination pursuant to paragraph (i) of this clause, the Contractor must, within 45 days of receipt of the final determination, either correct the material weaknesses or submit an acceptable corrective action plan showing milestones and actions to eliminate the material weaknesses.

(j) *Withholding payments*. If the Contracting Officer makes a final determination to disapprove the Contractor's EVMS, and the contract includes the clause at 252.242-7998, Contractor Business Systems, the Contracting Officer will withhold payments in accordance with that clause.

(k) *Subcontracts*. With the exception of paragraphs (i) and (j) of this clause, the Contractor must require its subcontractors to comply with EVMS requirements as follows:

(1) For subcontracts valued at $100 million or more that are not primarily for software, the following subcontractors must comply with the requirements of this clause:

[Contracting Officer to insert names of subcontractors (or subcontracted effort if subcontractors have not been selected) designated for application of the EVMS requirements of this clause.]

(2) For subcontracts valued at less than $100 million or more that are not primarily for software, the following subcontractors must comply with the requirements of this clause, excluding the requirements of paragraph (c) of this clause:

[Contracting Officer to insert names of subcontractors (or subcontracted effort if subcontractors have not been selected) designated for application of the EVMS requirements of this clause.]

(End of clause)

252.234-7003 [Reserved]

252.234-7004 Cost and Software Data Reporting (DEVIATION 2026-O0011).
As prescribed in 234.7105(a), use the following basic clause:

COST AND SOFTWARE DATA REPORTING—BASIC (AUG 2026) (DEVIATION 2026-O0011)

(a) *Definition.* As used in this clause—

Undefinitized contract action means any contract action for which the contract terms, specifications, or price are not agreed upon before performance is begun under the action. Examples are letter contracts, orders under basic ordering agreements, and provisioned item orders, for which the price has not been agreed upon before performance has begun.

(b) *Requirements.* In the performance of this contract, the Contractor must—

(1) Use cost and software data reporting (CSDR) processes and procedures that accomplish the requirements contained in the contract CSDR Plan (DD Form 2794) and applicable data item description(s);

(2) Establish, implement, and maintain processes and procedures that provide for the consistent collection and generation of reliable actual cost data required by the contract CSDR Plan (DD Form 2794) and applicable data item description(s); and

(3)(i) Not later than 60 days after contract award or the definitization of an undefinitized contract action, complete a CSDR-readiness review with the Cost Assessment and Program Evaluation, Deputy Director for Cost Assessment and the cost estimating component of the relevant military department or defense agency in order to review CSDR requirements.

(ii) During the CSDR-readiness review, the Contractor must—

(A) Describe the processes and procedures the Contractor will use to—

(*1*) Provide for the consistent collection and generation of reliable CSDR data; and

(*2*) Deliver timely CSDR data deliverables required by the contract CSDR Plan (DD Form 2794) and applicable data item description(s);

(B) Identify any subcontractor whose contract is expected to exceed $50 million; and

(C) Identify any potential revisions to CSDR requirements that may better align data reporting to the Contractor's procedures.

(c) *Notification.* For subcontracts expected to exceed $50 million, if the Contractor changes subcontractors or awards new subcontracts, the Contractor must notify the Contracting Officer within 10 days of award.

(d) *Subcontracts.* The Contractor must include this clause in subcontracts at any tier that are expected to exceed $50 million.

(End of clause)

As prescribed in 234.7105(b), use the following clause, which uses different paragraphs (b)(3)(ii)(B), (c), and (d) than the basic clause:

COST AND SOFTWARE DATA REPORTING—ALTERNATE I
(AUG 2026) (DEVIATION 2026-O0011)

(a) *Definition.* As used in this clause—

Undefinitized contract action means any contract action for which the contract terms, specifications, or price are not agreed upon before performance is begun under the action. Examples are letter contracts, orders under basic ordering agreements, and provisioned item orders, for which the price has not been agreed upon before performance has begun.

(b) *Requirements.* In the performance of this contract, the Contractor must—

(1) Use cost and software data reporting (CSDR) processes and procedures that accomplish the requirements contained in the contract CSDR Plan (DD Form 2794) and applicable data item description(s);

(2) Establish, implement, and maintain processes and procedures that provide for the consistent collection and generation of reliable actual cost data required by the contract CSDR Plan (DD Form 2794) and applicable data item description(s); and

(3)(i) Not later than 60 days after contract award or the definitization of an undefinitized contract action, complete a CSDR-readiness review with the Cost Assessment and Program Evaluation, Deputy Director for Cost Assessment and the cost estimating component of the relevant military department or defense agency in order to review CSDR requirements.

(ii) During the CSDR-readiness review, the Contractor must—

(A) Describe the processes and procedures the Contractor will use to—

(*1*) Provide for the consistent collection and generation of reliable CSDR data; and

(*2*) Deliver timely CSDR data deliverables required by the contract CSDR Plan (DD Form 2794) and applicable data item description(s);

(B) Identify any subcontractor whose contract is expected to exceed $20 million; and

(C) Identify any potential revisions to CSDR requirements that may better align data reporting to the Contractor's procedures.

(c) *Notification.* For subcontracts expected to exceed $20 million, if the Contractor changes subcontractors or awards new subcontracts, the Contractor must notify the Contracting Officer within 10 days of award.

(d) *Subcontracts*. The Contractor must include this clause in subcontracts at any tier that are expected to exceed $20 million.

(End of clause)

PGI 234—MAJOR SYSTEM ACQUISITION

PGI 234.2—EARNED VALUE MANAGEMENT SYSTEM

PGI 234.201-70 Policy.

(a)(3) When the program manager decides to implement earned value management on contracts and subcontracts valued at less than $50,000,000, a cost-benefit analysis must be conducted and the results documented in the contract file. Considerations for determining the effectiveness of applying earned value management in these situations and guidance for tailoring reporting are available in—

(i) The Integrated Program Management Data Analysis Report (IPMDAR) Implementation & Tailoring Guide; and

(ii) The DoD Earned Value Management Implementation Guide.

(4) In extraordinary cases where cost/schedule visibility is required and cannot be obtained using other means, the program manager must request a waiver for individual contracts from the Milestone Decision Authority. In these cases, the program manager will conduct a business case analysis that includes rationale as to why a cost or fixed-price incentive contract was not an appropriate contracting vehicle. Considerations for determining the effectiveness of applying earned value management in these situations and guidance for tailoring reporting can be found in—

(i) DoD Instruction 5000.85, paragraph 3C.3.c.(3); and

(ii) The DoD Earned Value Management Implementation Guide.

(b) The procuring contracting officer must obtain the assistance of the administrative contracting officer in determining the adequacy of an earned value management system (EVMS) plan that an offeror proposes for compliance with EIA-748, under the provision at DFARS 252.234-7998, Notice of Earned Value Management System. The Government will review and approve the offeror's EVMS plan before contract award. Instructions for performing EVMS plan reviews can be found at *https://www.dcma.mil/HQ/EVMS*.

(d) Additional guidance on earned value management can be found in—

(1) The Guidebook for Earned Value Management System (EVMS) System-Level Surveillance at *https://www.dcma.mil/HQ/EVMS/*;

(2) The Guidebook for Earned Value Management System - Program Analysis; and

(3) The Program Managers' Guide to the Integrated Baseline Review Process (the IBR Guide).

(g) *Disposition of findings*.

(2) *Initial determination*.

(ii)(A) Within 30 days of receiving the report, if the contracting officer makes a determination that there is a material weakness, the contracting officer should provide an initial determination of material weaknesses and a copy of the report to the contractor and require the contractor to submit a written response.

(C) *Evaluation of contractor's response*. Within 30 days of receiving the contractor's response, the contracting officer, in consultation with the cognizant functional specialist, should evaluate the contractor's response and make a final determination.

(3) *Final determination*.

(i)(B)(*1*) *Monitoring contractor's corrective action*. The contracting officer and cognizant functional specialist must monitor the contractor's progress in correcting material weaknesses and deficiencies. If the contractor fails to make adequate progress, the contracting officer must take whatever action is necessary to ensure that the contractor corrects the weaknesses and deficiencies. Actions the contracting officer may take include: withdraw or withhold approval of the system; bringing the issue to the attention of higher level management, as applicable; recommending non-award of potential contracts; and for material weaknesses, implementing or increasing the withholding in accordance with 252.242-7998, Contractor Business Systems.

(*2*) *Correction of material weaknesses*.

(*i*) When the contractor notifies the contracting officer that the contractor has corrected the material weaknesses, the contracting officer must request the cognizant functional specialist to review the correction to determine whether the weaknesses and deficiencies have been resolved.

(*ii*) The contracting officer must determine whether the contractor has corrected the weaknesses and deficiencies.

(*iii*) If the contracting officer determines the contractor has corrected the weaknesses and deficiencies, send the contracting officer's notification to the cognizant functional specialist; payment office; appropriate action officers responsible for reporting past performance at the requiring activities; and each contracting and contract administration office having substantial business with the contractor as applicable.

PGI 234.70—[RESERVED]

PGI 234.71—COST AND SOFTWARE DATA REPORTING

PGI 234.7103 Waiver.

(b) The Cost Assessment and Program Evaluation (CAPE) office may be contacted at—

Cost Assessment and Program Evaluation
Attn: Deputy Director, Cost Assessment
1800 Defense Pentagon

Washington, DC 20301-1800
osd.mc-alex.cape.mbx.cade-helpdesk@mail.mil
https://cade.osd.mil/

PGI 234.72—ACQUISITION STRATEGY FOR MAJOR SYSTEMS

PGI 234.7202 Procedures.

(b) *Use of cost-reimbursement line items for production of major defense acquisition programs.* (1) For additional contract type approval requirements for cost-reimbursement contracts, see subpart 216.3.

(e) *Development and demonstration of initial or additional prototype units.*

(3) Upon request by Defense Pricing, Contracting, and Acquisition Policy (Contract Policy), contracting activities must provide the benefits derived from the use of contract line items or contract options for the development and demonstration or initial production of technology developed under the contract, or the delivery of initial or additional items in accordance with DFARS 235.102.